By 1960, road transport undertakings were established in all the states. The service of transportation of passengers by road also did not escape the winds of socialism. The nationalization of private operators and establishment of monopoly state-owned corporations to establish and operate bus services were achieved through two basic policy instruments.

One, only operators with permits could lawfully ply bus services on routes declared by the government. Second, permits were denied to private operators and routes were nationalized by giving permits only to STUs. By the end of the 1980s, only STUs were plying buses on national and state highways.

Mismanagement and inability to operate commercial services made the state transport business bleed very soon. In 2015–16, the combined revenues of forty-seven STUs out of the fifty-four 54 STUs that were reporting results were Rs 51,748 crore and their combined losses during the year amounted to Rs 11,350 crore (after accounting for all subsidy and other supports) with forty of the forty-seven STUs incurring losses.

Some states like Madhya Pradesh, Chhattisgarh, Jharkhand and West Bengal do not have state road transport corporations any longer or their undertakings are completely defunct. Many others are also quickly going down the hill. Private operators have now assumed almost the entire space in road transport with 93 per cent of the share of road transport GVA.